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15

The New Venture

For the existing enterprise, whether business or public-service institution, the controlling word in the term "entrepreneurial management" is "entrepreneurial." For the new venture, it is "management." In the existing business, it is the existing that is the main obstacle to entrepreneurship. In the new venture, it is its absence.

The new venture has an idea. It may have a product or a service. It may even have sales, and sometimes quite a substantial volume of them. It surely has costs. And it may have revenues and even profits. What it does not have is a "business," a viable, operating, organized "present" in which people know where they are going, what they are supposed to do, and what the results are or should be. But unless a new venture develops into a new business and makes sure of being "managed," it will not survive no matter how brilliant the entrepreneurial idea, how much money it attracts, how good its products, nor even how great the demand for them.

Refusal to accept these facts destroyed every single venture started by the nineteenth century's greatest inventor, Thomas Edison. Edison's ambition was to be a successful businessman and the head of a big company. He should have succeeded, for he was a superb business planner. He knew exactly how an electric power company had to be set up to exploit his invention of the light bulb. He knew exactly how to get all the money he could possibly need for his ventures. His products were immediate successes and the demand for them practically insatiable. But Edison remained an entrepreneur; or rather, he thought that "managing" meant being the boss. He refused to build a management team. And so every one of his four or five companies collapsed ignominiously once it got to middle size, and was saved only by booting Edison himself out and replacing him with professional management.

Entrepreneurial management in the new venture has four requirements:

It requires, first, a focus on the market.

It requires, second, financial foresight, and especially planning for cash flow and capital needs ahead.

It requires, third, building a top management team long before the new venture actually needs one and long before it can actually afford one.

And finally, it requires of the founding entrepreneur a decision in respect to his or her own role, area of work, and relationships.

I

THE NEED FOR MARKET FOCUS

A common explanation for the failure of a new venture to live up to its promise or even to survive at all is: "We were doing fine until these other people came and took our market away from us. We don't really understand it. What they offered wasn't so very different from what we had." Or one hears: "We were doing all right, but these other people started selling to customers we'd never even heard of and all of a sudden they had the market."

When a new venture does succeed, more often than not it is in a market other than the one it was originally intended to serve, with products or services not quite those with which it had set out, bought in large part by customers it did not even think of when it started, and used for a host of purposes besides the ones for which the products were first designed. If a new venture does not anticipate this, organizing itself to take advantage of the unexpected and unseen markets; if it is not totally market-focused, if not market-driven, then it will succeed only in creating an opportunity for a competitor.

There are exceptions, to be sure. A product designed for one specific use, especially if scientific or technical, often stays with the market and the end use for which it was designed. But not always. Even a prescription drug designed for a specific ailment and tested for it sometimes ends up being used for some other quite different ailment. One example is a compound that is effectively used in the treatment of stomach ulcers. Or a drug designed primarily for the treatment of human beings may find its major market in veterinary medicine.

Anything genuinely new creates markets that nobody before even imagined. No one knew that he needed an office copier before the first Xerox machine came out around 1960; five years later no business could imagine doing without a copier. When the first jet planes started to fly, the best market research pointed out that there were not even enough passengers for all the transatlantic liners then in service or being built. Five years later the transatlantic jets were carrying fifty to one hundred times as many passengers each year as had ever before crossed the Atlantic.

The innovator has limited vision, in fact, he has tunnel-vision. He sees the area with which he is familiar—to the exclusion of all other areas.

An example is DDT. Designed during World War II to protect American soldiers against tropical insects and parasites, it eventually found its greatest application in agriculture to protect livestock and crops against insects—to the point where it had to be banned for being too effective. Yet not one of the distinguished scientists who designed DDT during World War II envisaged these uses of DDT. Of course they knew that babies die from fly-borne "summer" diarrhea. Of course they knew that livestock and crops are infested by insect parasites. But these things they knew as laymen. As experts, they were concerned with the tropical diseases of humans. It was the ordinary American soldier who then applied DDT to the areas in which he was the "expert," that is, to his home, his cows, his cotton patch.

Similarly, the 3M Company did not see that an adhesive tape it had developed for industry would find myriad uses in the household and in the office—becoming Scotch Tape. 3M had for many years been a supplier of abrasives and adhesives to industry, and moderately successful in industrial markets. It had never even thought of consumer markets. It was pure accident which led the engineer who had designed an industrial product no industrial user wanted to the realization that the stuff might be salable in the consumer market. As the story goes, he took some samples home when the company had already decided to abandon the product. To his surprise, his teenage daughters began to use it to hold their curls overnight. The only unusual thing about this story is that he and his bosses at 3M recognized that they had stumbled upon a new market.

A German chemist developed Novocain as the first local anesthetic in 1905. But he could not get the doctors to use it; they preferred total

anesthesia (they only accepted Novocain during World War I). But totally unexpectedly, dentists began to use the stuff. Whereupon—or so the story goes—the chemist began to travel up and down Germany making speeches against Novocain's use in dentistry. He had not designed it for that purpose!

That reaction was somewhat extreme, I admit. Still, entrepreneurs *know* what their innovation is meant to do. And if some other use for it appears, they tend to resent it. They may not actually refuse to serve customers they have not "planned" for, but they are likely to make it clear that these customers are not welcome.

This is what happened with the computer. The company that had the first computer, Univac, knew that its magnificent machine was designed for scientific work. And so it did not even send a salesman out when a business showed interest in it; surely, it argued, these people could not possibly know what a computer was all about. IBM was equally convinced that the computer was an instrument for scientific work: their own computer had been designed specifically for astronomical calculations. But IBM was willing to take orders from businesses and to serve them. Ten years later, around 1960, Univac still had by far the most advanced and best machine. IBM had the computer market.

The textbook prescription for this problem is "market research." But it is the wrong prescription.

One cannot do market research for something genuinely new. One cannot do market research for something that is not yet on the market. Around 1950, Univac's market research concluded that, by the year 2000, about one thousand computers would be sold; the actual figure in 1984 was about one million. And yet this was the most "scientific," careful, rigorous market research ever done. There was only one thing wrong with it: it started out with the assumption, then shared by everyone, that computers were going to be used for advanced scientific work—and for that use, the number is indeed quite limited. Similarly, several companies who turned down the Xerox patents did so on the basis of thorough market research which showed that printers had no use at all for a copier. Nobody had any inkling that businesses, schools, universities, colleges, and a host of private individuals would want to buy a copier.

The new venture therefore needs to start out with the assumption that its product or service may find customers in markets no one thought of, for uses no one envisaged when the product or service was

designed, and that it will be bought by customers outside its field of vision and even unknown to the new venture.

If the new venture does not have such a market focus from the very beginning, all it is likely to create is the market for a competitor. A few years later "those people" will come in and take away "our market," or "those other people" who started "selling to customers we'd never even heard of" all of a sudden will indeed have preempted the market.

To build market focus into a new venture is not in fact particularly difficult. But what is required runs counter to the inclinations of the typical entrepreneur. It requires, first, that the new venture systematically hunt out both the unexpected success and the unexpected failure (cf. Chapter 3). Rather than dismiss the unexpected as an "exception," as entrepreneurs are inclined to do, they need to go out and look at it carefully and as a distinct opportunity.

Shortly after World War II, a small Indian engineering firm bought the license to produce a European-designed bicycle with an auxiliary light engine. It looked like an ideal product for India; yet it never did well. The owner of this small firm noticed, however, that substantial orders came in for the engines alone. At first he wanted to turn down those orders; what could anyone possibly do with such a small engine? It was curiosity alone that made him go to the actual area the orders came from. There he found farmers were taking the engines off the bicycles and using them to power irrigation pumps that hitherto had been hand-operated. This manufacturer is now the world's largest maker of small irrigation pumps, selling them by the millions. His pumps have revolutionized farming all over Southeast Asia.

To be market-driven also requires that the new venture be willing to experiment. If there is any interest in the new venture's product or service on the part of consumers or markets that were not in the original plan, one tries to find somebody in that new and unexpected area who might be willing to test the new product or service and find out what, if any, application it might have. One provides free samples to people in the "improbable" market to see what they can do with it, whether they can use the stuff at all, or what it would have to be like for them to become customers for it. One advertises in the trade papers of the industry whence indications of interest came, and so on.

The DuPont Company never thought of automobile tires as a major application for the new Nylon fiber it had developed. But when one of the Akron tire manufacturers showed interest in trying out Nylon,

DuPont set up a plant. A few years later, tires had become Nylon's biggest and most profitable market.

It does not require a great deal of money to find out whether an unexpected interest from an unexpected market is an indication of genuine potential or a fluke. It requires sensitivity and a little systematic work.

Above all, the people who are running a new venture need to spend time outside: in the marketplace, with customers and with their own salesmen, looking and listening. The new venture needs to build in systematic practices to remind itself that a "product" or a "service" is defined by the customer, not by the producer. It needs to work continuously on challenging itself in respect to the utility and value that its products or services contribute to customers.

The greatest danger for the new venture is to "know better" than the customer what the product or service is or should be, how it should be bought, and what it should be used for. Above all, the new venture needs willingness to see the unexpected success as an opportunity rather than as an affront to its expertise. And it needs to accept that elementary axiom of marketing: Businesses are not paid to reform customers. They are paid to satisfy customers.

II

FINANCIAL FORESIGHT

Lack of market focus is typically a disease of the "neo-natal," the infant new venture. It is the most serious affliction of the new venture in its early stages—and one that can permanently stunt even those that survive.

The lack of adequate financial focus and of the right financial policies is, by contrast, the greatest threat to the new venture in the next stage of its growth. It is, above all, a threat to the rapidly growing new venture. The more successful a new venture is, the more dangerous the lack of financial foresight.

Suppose that a new venture has successfully launched its product or service and is growing fast. It reports "rapidly increasing profits" and issues rosy forecasts. The stock market then "discovers" the new venture, especially if it is high-tech or in a field otherwise currently fashionable. Predictions abound that the new venture's sales will reach a billion

dollars within five years. Eighteen months later, the new venture collapses. It may not go out of existence or go bankrupt. But it is suddenly awash in red ink, lays off 180 of its 275 employees, fires the president, or is sold at a bargain price to a big company. The causes are always the same: lack of cash; inability to raise the capital needed for expansion; and loss of control, with expenses, inventories, and receivables in disarray. These three financial afflictions often hit together at the same time. Yet any one of them by itself endangers the health, if not the life, of the new venture.

Once this financial crisis has erupted, it can be cured only with great difficulty and considerable suffering. But it is eminently preventable.

Entrepreneurs starting new ventures are rarely unmindful of money; on the contrary, they tend to be greedy. They therefore focus on profits. But this is the wrong focus for a new venture, or rather, it comes last rather than first. Cash flow, capital, and controls come much earlier. Without them, the profit figures are fiction—good for twelve to eighteen months, perhaps, after which they evaporate.

Growth has to be fed. In financial terms this means that growth in a new venture demands adding financial resources rather than taking them out. Growth needs more cash and more capital. If the growing new venture shows a "profit" it is a fiction: a bookkeeping entry put in only to balance the accounts. And since taxes are payable on this fiction in most countries, it creates a liability and a cash drain rather than "surplus." The healthier a new venture and the faster it grows, the more financial feeding it requires. The new ventures that are the darlings of the newspapers and the stock market letters, the new ventures that show rapid profit growth and "record profits," are those most likely to run into desperate trouble a couple of years later.

The new venture needs cash flow analysis, cash flow forecasts, and cash management. The fact that America's new ventures of the last few years (with the significant exception of high-tech companies) have been doing so much better than new ventures used to do is largely because the new entrepreneurs in the United States have learned that entrepreneurship demands financial management.

Cash management is fairly easy if there are reliable cash flow forecasts, with "reliable" meaning "worst case" assumptions rather than hopes. There is an old banker's rule of thumb, according to which in forecasting cash income and cash outlays one assumes that bills will have to be paid sixty days earlier than expected and receivables will

come in sixty days later. If the forecast is overly conservative, the worst that can happen—it rarely does in a growing new venture—is a temporary cash surplus.

A growing new venture should know twelve months ahead of time how much cash it will need, when, and for what purposes. With a year's lead time, it is almost always possible to finance cash needs. But even if a new venture is doing well, raising cash in a hurry and in a "crisis" is never easy and always prohibitively expensive. Above all, it always sidetracks the key people in the company at the most critical time. For several months they then spend their time and energy running from one financial institution to another and cranking out one set of questionable financial projections after another. In the end, they usually have to mortgage the long-range future of the business to get through a ninety-day cash bind. When they finally are able again to devote time and thought to the business, they have irrevocably missed the major opportunities. For the new venture, almost by definition, is under cash pressure when the opportunities are greatest.

The successful new venture will also outgrow its capital structure. A rule of thumb with a good deal of empirical evidence to support it says that a new venture outgrows its capital base with every increase in sales (or billings) of the order of 40 to 50 percent. After such growth, a new venture also needs a new and different capital structure, as a rule. As the venture grows, private sources of funds, whether from the owners and their families or from outsiders, become inadequate. The company has to find access to much larger pools of money by going "public," by finding a partner or partners among established companies, or by raising money from insurance companies and pension funds. A new venture that had been financed by equity money now needs to shift to long-term debt, or vice versa. As the venture grows, the existing capital structure always becomes the wrong structure and an obstacle.

In some new ventures, capital planning is comparatively easy. When the business consists of uniform and entirely local units—restaurants in a chain, freestanding surgical centers or individual hospitals in different cities, homebuilders with separate operations in a number of different metropolitan areas, specialty stores and the like—each unit can be financed as a separate business. One solution is franchising (which is, in essence, a way to finance rapid expansion). Another is setting up each local unit as a company, with separate and often local investors as

"limited" partners. The capital needed for growth and expansion can thus be raised step by step, and the success of the preceding unit furnishes documentation and the incentive for the investors in the succeeding ones. But it only works when: (a) each unit breaks even fairly soon, at most perhaps within two or three years; (b) when the operation can be made routine, so that people of limited managerial competence —the typical franchise holder, or the business manager of a local free-standing surgical center—can do a decent job without much supervision; and (c) when the individual unit itself reaches fairly swiftly the optimum size beyond which it does not require further capital but produces cash surplus to help finance the startup of additional units.

For new ventures other than those capable of being financed as separate units, capital planning is a survival necessity. If a growing new venture plans realistically—and that again means assuming the maximum rather than the minimum need—for its capital requirement and its capital structure three years ahead, it should normally have little difficulty in obtaining the kind of money it needs, when it needs it, and in the form in which it needs it. If it waits until it outgrows its capital base and its capital structure, it is putting its survival—and most assuredly its independence—on the block. At the very least, the founders will find that they have taken all the entrepreneurial risk and worked hard only to make other people the rich owners. From being owners, they will have become employees, with the new investors taking control.

Finally, the new venture needs to plan the financial system it requires to manage growth. Again and again, a growing new venture starts off with an excellent product, excellent standing in its market, and excellent growth prospects. Then suddenly everything goes out of control: receivables, inventory, manufacturing costs, administrative costs, service, distribution, everything. Once one area gets out of control, all of them do. The enterprise has outgrown its control structure. By the time control has been reestablished, markets have been lost, customers have become disgruntled if not hostile, distributors have lost their confidence in the company. Worst of all, employees have lost trust in management, and with good reason.

Fast growth always makes obsolete the existing controls. Again, a growth of 40 to 50 percent in volume seems to be the critical figure.

Once control has been lost, it is hard to recapture. Yet the loss of

control can be prevented quite easily. What is needed is first to think through the critical areas in a given enterprise. In one, it may be product quality; in another, service; in a third, receivables and inventory; in a fourth, manufacturing costs. Rarely are there more than four or five critical areas in any given enterprise. (Managerial and administrative overhead should, however, always be included. A disproportionate and fast increase in the percentage of revenues absorbed by managerial and administrative overhead, which means that the enterprise hires managerial and administrative people faster than it actually grows, is usually the first sign that a business is getting out of control, that its management structure and practices are no longer adequate to the task.)

To live up to its growth expectations, a new venture must establish today the controls in these critical areas it will need three years hence. Elaborate controls are not necessary nor does it matter that the figures are only approximate. What matters is that the management of the new venture is aware of these critical areas, is being reminded of them, and can thus act fast if the need arises. Disarray normally does not appear if there is adequate attention to the key areas. Then the new venture will have the controls it needs when it needs them.

Financial foresight does not require a great deal of time. It does require a good deal of thought, however. The technical tools to do the job are easily available; they are spelled out in most texts on managerial accounting. But the work will have to be done by the enterprise itself.

III

BUILDING A TOP MANAGEMENT TEAM

The new venture has successfully established itself in the right market and has then successfully found the financial structure and the financial system it needs. Nonetheless, a few years later it is still prone to run into a serious crisis. Just when it appears to be on the threshold of becoming an "adult"—a successful, established, going concern—it gets into trouble nobody seems to understand. The products are first-rate, the prospects are excellent, and yet the business simply cannot grow. Neither profitability nor quality, nor any of the other major areas performs.

The reason is always the same: a lack of top management. The

business has outgrown being managed by one person, or even two people, and it now needs a management team at the top. If it does not have one already in place at the time, it is very late—in fact, usually too late. The best one can then hope is that the business will survive. But it is likely to be permanently crippled or to suffer scars that will bleed for many years to come. Morale has been shattered and employees throughout the company are disillusioned and cynical. And the people who founded the business and built it almost always end up on the outside, embittered and disenchanted.

The remedy is simple: To build a top management team *before* the venture reaches the point where it must have one. Teams cannot be formed overnight. They require long periods before they can function. Teams are based on mutual trust and mutual understanding, and this takes years to build up. In my experience, three years is about the minimum.

But the small and growing new venture cannot afford a top management team; it cannot sustain half a dozen people with big titles and corresponding salaries. In fact, in the small and growing business, a very small number of people do everything as it comes along. How, then, can one square this circle?

Again, the remedy is relatively simple. But it does require the will on the part of the founders to build a team rather than to keep on running everything themselves. If one or two people at the top believe that they, and they alone, must do everything, then a management crisis a few months, or at the latest, a few years down the road becomes inevitable.

Whenever the objective economic indicators of a new venture—market surveys, for instance, or demographic analysis—indicate that the business may double within three or five years, then it is the duty of the founder or founders to build the management team the new venture will very soon require. This is preventive medicine, so to speak.

First of all the founders, together with other key people in the firm, will have to think through the key activities of their business. What are the specific areas upon which the survival and success of this particular business depend? Most of the areas will be on everyone's list. But if there are divergencies and dissents—and there should be on a question as important as this—they should be taken seriously. Every activity which any member of the group thinks belongs there should go down on the list.

The key activities are not to be found in books. They emerge from analysis of the specific enterprise. Two enterprises that to an outsider appear to be in an identical line of business may well end up defining their key activities quite differently. One, for instance, may put production in the center; the other, customer service. Only two key activities are always present in any organization: there is always the management of people and there is always the management of money. The rest has to be determined by the people within looking at the enterprise and at their own jobs, values, and goals.

The next step is, then, for each member of the group, beginning with the founder, to ask: "What are the activities that *I* am doing well? And what are the activities that each of my key associates in this business is actually doing well?" Again, there is going to be agreement on most of the people and on most of their strengths. But, again, any disagreement should be taken seriously.

Next, one asks: "Which of the key activities should each of us, therefore, take on as his or her first and major responsibility because they fit the individual's strengths? Which individual fits which key activity?"

Then the work on building a team can begin. The founder starts to discipline himself (or herself) not to handle people and their problems, if this is not the key activity that fits him best. Perhaps this individual's key strength is new products and new technology. Perhaps this individual's key activity is operations, manufacturing, physical distribution, service. Or perhaps it is money and finance and someone else had better handle people. But all key activities need to be covered by someone who has proven ability in performance.

There is no rule that says "A chief executive has to be in charge of this or that." Of course a chief executive is the court of last resort and has ultimate accountability. And the chief executive also has to make sure of getting the information necessary to discharge this ultimate accountability. The chief executive's own *work*, however, depends on what the enterprise requires and on who the individual is. As long as the CEO's work program consists of key activities, he or she does a CEO's job. But the CEO also is responsible for making sure that all the other key activities are adequately covered.

Finally, goals and objectives for each area need to be set. Everyone who takes on the primary responsibility for a key activity, whether product development or people, or money, must be asked: "What can this enterprise expect of *you?* What should we hold *you* accountable

for? What are *you* trying to accomplish and by what time?" But this is elementary management, of course.

It is prudent to establish the top management team informally at first. There is no need to give people titles in a new and growing venture, nor to make announcements, nor even to pay extra. All this can wait a year or so, until it is clear that the new setup works, and how. In the meantime, all the members of the team have much to learn: their job; how they work together; and what they have to do to enable the CEO and their colleagues to do their jobs. Two or three years later, when the growing venture needs a top management, it has one.

However, should it fail to provide for a top management before it actually needs one, it will lose the capacity to manage itself long before it actually needs a top management team. The founder will have become so overloaded that important tasks will not get done. At this point the company can go one of two ways. The first possibility is that the founder concentrates on the one or two areas that fit his or her abilities and interests. These are key areas indeed, but they are not the only crucial ones, and no one is then left to look after the others. Two years later, important areas have been slighted and the business is in dire straits. The other, worse, possibility is that the founder is conscientious. He knows that people and money are key activities and need to be taken care of. His own abilities and interests, which actually built the business, are in the design and development of new products. But being conscientious, the founder forces himself to take care of people and finance. Since he is not very gifted in either area, he does poorly in both. It also takes him forever to reach decisions or to do any work in these areas, so that he is forced, by lack of time, to neglect what he is really good at and what the company depends on him for, the development of new technology and new products. Three years later the company will have become an empty shell without the products it needs, but also without the management of people and the management of money it needs.

In the first example, it may be possible to save the company. After all, it has the products. But the founder will inevitably be removed by whoever comes in to salvage the company. In the second case, the company usually cannot be saved at all and has to be sold or liquidated.

Long before it has reached the point where it needs the balance of a top management team, the new venture has to create one. Long before the time has come at which management by one person no

longer works and becomes mismanagement, that one person also has to start learning how to work with colleagues, has to learn to trust people, yet also how to hold them accountable. The founder has to learn to become the leader of a team rather than a "star" with "helpers."

IV

"WHERE CAN I CONTRIBUTE?"

Building a top management team may be the single most important step toward entrepreneurial management in the new venture. It is only the first step, however, for the founders themselves, who then have to think through what their own future is to be.

As a new venture develops and grows, the roles and relationships of the original entrepreneurs inexorably change. If the founders refuse to accept this, they will stunt the business and may even destroy it.

Every founder-entrepreneur nods to this and says, "Amen." Everyone has horror stories of other founder-entrepreneurs who did not change as the venture changed, and who then destroyed both the business and themselves. But even among the founders who can accept that they themselves need to do something, few know how to tackle changing their own roles and relationships. They tend to begin by asking: "What do I like to do?" Or at best, "Where do I fit in?" The right question to start with is: "What will the venture need *objectively* by way of management from here on out?" And in a growing new venture, the founder has to ask this question whenever the business (or the public-service institution) grows significantly or changes direction or character, that is, changes its products, services, markets, or the kind of people it needs.

The next question the founder must ask is: "What am I good at? What, of all these needs of the venture, could I supply, and supply with distinction?" Only after having thought through these two questions should a founder then ask: "What do I really want to do, and believe in doing? What am I willing to spend years on, if not the rest of my life? Is this something the venture really needs? Is it a major, essential, indispensable contribution?"

One example is that of the successful American post–World War II metropolitan university, Pace, in New York City. Dr. Edward Mortola built up the institution from nothing in 1947 into New York City's

third-largest and fastest-growing university, with 25,000 students and well-regarded graduate schools. In the university's early years he was a radical innovator. But when Pace was still very small (around 1950), Mortola built a strong top management team. All members were given a major, clearly defined responsibility, for which they were expected to take full accountability and give leadership. A few years later, Mortola then decided what his own role was to be and converted himself into a traditional university president, while at the same time building a strong independent board of trustees to advise and support him.

But the questions of what a venture needs, what the strengths of the founder-entrepreneur are, and what he or she wants to do, might be answered quite differently.

Edwin Land, for instance, the man who invented Polaroid glass and the Polaroid camera, ran the company during the first twelve or fifteen years of its life, until the early 1950s. Then it began to grow fast. Land thereupon designed a top management team and put it in place. As for himself, he decided that he was not the right man for the top management job in the company: what he and he alone could contribute was scientific innovation. Accordingly, Land built himself a laboratory and established himself as the company's consulting director for basic research. The company itself, in its day-to-day operations, he left to others to run.

Ray Kroc, the man who conceived and built McDonald's, reached a similar conclusion. He remained president until he died well past age eighty. But he put a top management team in place to run the company and appointed himself the company's "marketing conscience." Until shortly before his death, he visited two or three McDonald's restaurants each week, checking their quality carefully, the level of cleanliness and friendliness. Above all, he looked at the customers, talked to them and listened to them. This enabled the company to make the necessary changes to retain its leadership in the fast-food industry.

Similarly, in a much smaller new venture, a building supply company in the Pacific Northwest of the United States, the young man who built the company decided that his role was not to run the company but to develop its critical resource, the managers who are responsible for its two hundred branches in small towns and suburbs. These managers are in effect running their own local business. They are supported by strong services in headquarters: central buying, quality control, control of credit and receivables, and so on. But the selling is done by each

manager, locally and with very little help—maybe one salesman and a couple of truck drivers.

The business depends on the motivation, drive, ability, and enthusiasm of these isolated, fairly unsophisticated individuals. None of them has a college degree and few have even finished high school. So the founder of this company makes it his business to spend twelve to fifteen days each month in the field visiting branch managers, spending half a day with them, discussing their business, their plans, their aspirations. This may well be the only distinction the company has—otherwise, every other building materials wholesaler does the same things. But this performance of the one key activity by the chief executive has enabled the company to grow three to four times as fast as any competitor, even in recession times.

Yet another quite different answer to the same question was given by the three scientists who, together, founded what has become one of the largest and most successful companies in the semiconductor industry. When they asked themselves, "What are the needs of the business?" the answer was that there were three: "One for basic business strategy, one for scientific research and development, and one for the development of people—especially scientific and technical people." They decided which of the three was most suited for each of these assignments, and then divided them according to their strengths. The person who took the human relations and human development job had actually been a prolific scientific innovator and had high standing in scientific circles. But he decided, and his colleagues concurred, that he was superbly fitted for the managerial, the people task, so he took it. "It was not," he once said in a speech, "what I really wanted to do, but it was where I could make the greatest contribution."

These questions may not always lead to such happy endings. They may even lead to the decision to leave the company.

In one of the most successful new financial services ventures in the United States, this is what the founder concluded. He did establish a top management team. He asked what the company needed. He looked at himself and his strengths; and he found no match between the needs of the company and his own abilities, let alone between the needs of the company and the things he wanted to do. "I trained my own successor for about eighteen months, then turned the company over to him and resigned," he said. Since then he has started three new businesses, not one of them in finance, has developed them successfully to medium

size, and then quit again. He wants to develop new businesses but does not enjoy running them. He accepts that both the businesses and he are better off divorced from one another.

Other entrepreneurs in this same situation might reach different conclusions. The founder of a well-known medical clinic, a leader in its particular field, faced a similar dilemma. The needs of the institution were for an administrator and money-raiser. His own inclinations were to be a researcher and a clinician. But he realized that he was good at raising money and capable of learning to be the chief executive officer of a fairly large health-care organization. "And so," he says, "I felt it my duty to the venture I had created, and to my associates in it, to suppress my own desires and to take on the job of chief administrator and money-raiser. But I would never have done so had I not known that I had the abilities to do the job, and if my advisors and my board had not all assured me that I had these abilities."

The question, "Where do *I* belong?" needs to be faced up to and thought through by the founder-entrepreneur as soon as the venture shows the first signs of success. But the question can be faced up to much earlier. Indeed, it might be best thought through before the new venture is even started.

This is what Soichiro Honda, the founder and builder of Honda Motor Company in Japan, did when he decided to open a small business in the darkest days after Japan's defeat in World War II. He did not start his venture until he had found the right man to be his partner and to run administration, finance, distribution, marketing, sales, and personnel. For Honda had decided from the outset that he belonged in engineering and production and would not run anything else. This decision made the Honda Motor Company.

There is an earlier and even more instructive example, that of Henry Ford. When Ford decided in 1903 to go into business for himself, he did exactly what Honda did forty years later: before starting, he found the right man to be his partner and to run the areas where Ford knew he did not belong—administration, finance, distribution, marketing, sales, and personnel. Like Honda, Henry Ford knew that he belonged in engineering and manufacturing and was going to confine himself to these two areas. The man he found, James Couzens,* contributed as much as Ford to the success of the company. Many of the

*Who later became mayor of Detroit and senator from Michigan, and might well have become President of the United States had he not been born in Canada.

best known policies and practices of the Ford Motor Company for which Henry Ford is often given credit—the famous $5-a-day wage of 1913, or the pioneering distribution and service policies, for example —were Couzens's ideas and at first resisted by Ford. So effective did Couzens become that Ford grew increasingly jealous of him and forced him out in 1917. The last straw was Couzens's insistence that the Model T was obsolescent and his proposal to use some of the huge profits of the company to start work on a successor.

The Ford Motor Company grew and prospered to the very day of Couzens's resignation. Within a few short months thereafter, as soon as Henry Ford had taken every single top management function into his own hands, forgetting that he had known earlier where he belonged, the Ford Motor Company began its long decline. Henry Ford clung to the Model T for a full ten years, until it had become literally unsalable. And the company's decline was not reversed for thirty years after Couzens's dismissal until, with his grandfather dying, a very young Henry Ford II took over the practically bankrupt business.

THE NEED FOR OUTSIDE ADVICE

These last cases point up an important factor for the entrepreneur in the new and growing venture, the need for independent, objective outside advice.

The growing new venture may not need a formal board of directors. Moreover, the typical board of directors very often does not provide the advice and counsel the founder needs. But the founder does need people with whom he can discuss basic decisions and to whom he listens. Such people are rarely to be found within the enterprise. Somebody has to challenge the founder's appraisal of the needs of the venture, and of his own personal strengths. Someone who is not a part of the problem has to ask questions, to review decisions and, above all, to push constantly to have the long-term survival needs of the new venture satisfied by building in the market focus, supplying financial foresight, and creating a functioning top management team. This is the final requirement of entrepreneurial management in the new venture.

The new venture that builds such entrepreneurial management into its policies and practices will become a flourishing large business.*

*A fine description of this process is to be found in *High-Output Management* (New

In so many new ventures, especially high-tech ventures, the techniques discussed in this chapter are spurned and even despised. The argument is that they constitute "management" and "We are entrepreneurs." But this is not informality; it is irresponsibility. It confuses manners and substance. It is old wisdom that there is no freedom except under the law. Freedom without law is license, which soon degenerates into anarchy, and shortly thereafter into tyranny. It is precisely because the new venture has to maintain and strengthen the entrepreneurial spirit that it needs foresight and discipline. It needs to prepare itself for the demands its own success will make of it. Above all, it needs responsibility—and this, in the last analysis, is what entrepreneurial management supplies to the new venture.

There is much more that could be said about managing the new venture, about financing, staffing, marketing its products, and so on. But these specifics are adequately covered in a number of publications.* What this chapter has tried to do is to identify and discuss the few fairly simple policies that are crucial to the survival and success of any new venture, whether a business or a public-service institution, whether "high-tech," "low-tech," or "no-tech," whether started by one man or woman or by a group, and whether intended to remain a small business or to become "another IBM."

York: Random House, 1983), by Andrew S. Grove, co-founder and president of Intel, one of the largest manufacturers of semiconductors.

*For some of these, see the Suggested Readings at the back of this book.